



Loan Registration and Locking a Loan - Correspondent

HOW TO OBTAIN RATE & PRICE QUOTES

Flagstar Bank reserves the right to change rates, prices and fees quoted for any mortgage **product** at any time during the day. The actual rates, prices and fees applicable to a given commitment will be those in effect at the time the commitment is obtained.

Flagstar publishes daily price indications at 10 a.m. Eastern Time, should market conditions warrant a change new price indication sheets will be published and posted at tpo.flagstar.com. It is our intention to notify customers by e-mail when rates move; however, rates are subject to change at any time without notice. The most current Price Indications are always available at tpo.flagstar.com.

Please make sure that you click "refresh" or "reload" to make sure that your browser is displaying the most current price indication sheets.

EMAIL

Please be aware that you will only receive Price Indications via email at 10 a.m. Eastern Time.

WEBSITE

Once you are logged into our website, click on *Price a Loan* under the *Rates & Pricing* menu. *Price a Loan* allows you to enter loan specific details to obtain a price indication on one product or compare pricing on multiple products. From *Price a Loan*, you can also register and lock a loan.

HOW TO REGISTER/LOCK A LOAN

WEBSITE

Log on to our website and select the *Register New Loan* to import your registration file or input loan registration information. If you do not see this option, contact your website Administrator (usually an officer of your company) to have your user profile updated with this feature.

CALYX POINT

You can use this loan origination system to lock and import your loans directly to Flagstar. Please contact your Account Executive for more details.

FAX

You may lock a loan by faxing Flagstar Bank's Lock Desk any business day from 10:00 a.m. to Midnight Eastern Time. To register and/or lock by fax, you must complete the *Loan Registration and Lock Request*, [Doc. #3101](#) in its entirety and fax to (248) 312-LOCK (5625).

PHONE

To lock by phone call: (866) 945-9872
Follow customer service prompts to speak with a Rate Lock Specialist.

REQUIRED REGISTRATION/LOCK INFORMATION

When registering or locking a loan, you must provide the following:

1. Company name, seller ID number, and phone number.
2. Contact person
3. Borrower's name
4. Borrower's Social Security Number



Loan Registration and Locking a Loan - Correspondent

5. Co-borrower's name
6. Co-borrower's Social Security Number
7. Loan purpose
8. Property address
9. City, county, state, zip code
10. Loan amount
11. Purchase price and/or estimated value
12. Property type
13. Occupancy
14. Lock period
15. Loan **product**
16. Interest rate
17. Rate sheet pricing

If all information is accurate, a loan number will be assigned. When confirmation is received (available online), please check for accuracy and report any discrepancies to our Lock Desk immediately. It is the exclusive obligation of the contact to review and communicate any errors to Flagstar Bank upon receipt.

Loans may be registered at any time after the preliminary application is taken. The correspondent may choose to float the loan or lock according to lock periods specified for each **product** on the price indication sheet.

Please note the following:

- All loan **products** have price caps
- Some loan **products** must be approved before they can be locked

Refer to price indication sheets for additional details.

LOCK-IN TERMS

Flagstar Bank offers lock in commitment terms between 15 and 90 days without any additional upfront fee, as well as extended lock in commitments ranging between 120 and 365 days depending on the product type. All lock in commitments greater than 90 days will require an upfront fee. Please review *Correspondent Lock Extension Policy*, [Doc. #4122](#) for details. Certain products offer the delivery choice of best efforts or mandatory. The mandatory lock-in commitment requires that the loan be closed, disbursed and note and post-closing package received by Flagstar exactly as locked according to Flagstar's on time delivery outlined in *Correspondent Lock Extension Policy*, [Doc. #4122](#). Failure to deliver a mandatory commitment will result in a pair-off of that commitment. The best efforts lock-in commitment will be considered mandatory if a loan locked-in with Flagstar closes with Correspondent but is not delivered. If the borrower withdraws his or her application and does not close with Correspondent, Correspondent shall provide a copy of Notice of Credit Denial to Flagstar Bank upon request.

TO BE DETERMINED (TBD) PROPERTY ADDRESS

A lock may be committed on a TBD property address for a period of 60-90 days on eligible products. Only eligible products and lock periods will be displayed when the TBD property address question has been selected as Yes on the main registration page. A property address must be provided and updated within the loan registration at least 30 days prior to initial lock expiration date. If a property address has not been



Loan Registration and Locking a Loan - Correspondent

provided within the required timeframe the lock will be subject to worse case pricing. Normal extension guidelines apply when the loan has a property address.

EXTENSIONS

Loans that do not close within the commitment period may be extended for a further period with either a fee based or a market based extension, whichever is the better option if completed on or before the lock expiration date. After expiration, only a market based extension is available. Loans that have been expired for >30 days will be eligible to relock at market.

Lock Extensions are available online at tpo.flagstar.com or by calling the Lock Desk at (866) 945-9872. Refer to *Lock Extension Policy - Correspondent*, [Doc. #4122](#) or *Mandatory Lock Extension Policy - Correspondent*, [Doc. #4123](#) for applicable guidelines.

CHANGING LOAN PRODUCT OR RATE ON A LOAN LOCKED BEST EFFORTS DELIVERY

When the loan product is changed to a new product from a previously locked-in product, the terms of the new product may be the worse of:

- The rate and fee of the new product as it was priced on the day the original **product** was initially locked-in.
- The current rate and fee of the new product on the day the Lock Desk is contacted to price the **product** change.
- Loans that have been submitted to underwriting cannot be locked under the new **product** until it has been approved by underwriting.
- Change in product may be subject to worse case pricing, refer to *Product Change Guidelines*, [Doc. #4124](#)

When a borrower wishes to change the interest rate on a locked loan, the new rate will be priced as follows:

- A request to change interest rate on a locked loan will be priced from the original lock date. Changes to an interest rate on a locked loan must be completed by contacting the Lock Desk.
- Rate change increases for conventional products, greater than .50, and all rate increases for Government products will be reviewed by Underwriting for approval.

NEW RATE LOCK FOR PROPERTY ADDRESS CHANGES

The lock is not transferrable for a property address change on an existing commitment. When a new property address is established a new loan will need to be registered by our Lock Desk at (866) 945-9872. You will be provided a new loan number in a floating status. Any new rate lock will be based on the current market at the time of re-commitment. The Lock Desk will monitor property address changes through reporting of duplicate loans for the same borrower.

LOAN DELIVERY

Flagstar's on-time delivery policy requires the following:

- The complete closed/salable package received by lock expiration.

For complete delivery and post-closing extension guidelines, refer to *Correspondent Lock Extension Policy*, [Doc. #4122](#) (p. 3).

Loan Registration and Locking a Loan - Correspondent

PAIR-OFFS

If a loan is locked under mandatory commitment, and loan is not closed, disbursed and delivered to Flagstar according to the lock-in terms, the loan will automatically be subject to pair-off. If Seller does not deliver a Mortgage Loan locked-in with Flagstar under a best efforts commitment that actually closes, Flagstar may require Seller to pay a pair-off fee. Pair-off fees will be assessed the day after expiration, and the fees will be billed to the Correspondent immediately.

Pair-off fees are determined by comparing the current lock-in commitment price with the commitment price that would apply if the loan was locked on the pair-off date. Both commitment prices should include any applicable pricing adjustments for that particular loan.

- If the lock-in commitment price on the pair-off date is worse than the locked commitment price (rates have increased), the pair-off fee will be the difference between a mandatory delivery lock and a best efforts delivery lock for that particular loan multiplied by the mortgage principal balance.
- If the lock-in commitment price on the pair-off date is better than the locked commitment price (rates have decreased), the pair-off is calculated as the difference between a mandatory delivery lock and a best efforts delivery lock for that particular loan plus the price improvement in the market multiplied by the mortgage balance.

As a result of the pair-off, the existing lock commitment is rendered null and void. If the same loan is re-submitted for purchase, it will be treated as a new lock and will be priced according to current market conditions.

SUBSTITUTIONS

If Correspondent cannot deliver a loan that is subject to a mandatory commitment, Correspondent may substitute an approved loan of the same type, provided that the interest rate of the substituted loan is the same as the loan being substituted for. A tolerance of 10% of the loan amount will be allowed on deliveries.

For example; if a loan is committed under a mandatory commitment for \$150,000 and the loan must be substituted, Correspondent may deliver another loan within a range of \$135,000 - \$165,000 to make good delivery. If Correspondent is unable to make substitution within this range, Flagstar Bank will accept delivery of the loan but will adjust the pricing accordingly.

For example; if the substituted loan is \$200,000, the loan amount will be adjusted and will fund at the original buy price, however, an over delivery fee will be assessed with the following calculation:

For example;

If the substituted loan is \$200,000

$\$200,000 - \$165,000 = \$35,000$

$\$35,000 \times \text{normal pair off fee calculation}$ (See the [Pair-Offs](#) section for additional information)

The over delivery fee will be netted out at funding. Under delivery will result in a pair-off calculation on the amount not delivered after tolerance.

DENIED LOANS

If a loan that is subject to a best-effort commitment is denied, the existing commitment may be subject to worse case pricing if resubmitted. The terms of this commitment will be the original locked-in rate and price, or the



Loan Registration and Locking a Loan - Correspondent

current market rate and price whichever is worse. If a loan that is subject to a mandatory commitment is denied, Correspondent may substitute another loan under the substitution guidelines above, or if no substitute is available, the commitment will be paired-off under the pair-off guidelines. Correspondent is responsible for contacting the Lock Desk so the loan may be coded properly.

RESCINDED LOANS

If a loan is rescinded the existing commitment becomes subject to worse case pricing if resubmitted. The terms of this commitment will be the original locked-in rate and fee, or the current market rate and fee, whichever is worse.

PULLING LOCKED-IN LOANS

We do not want any correspondent to lock-in a loan with Flagstar Bank if the loan is still currently locked-in with another institution. Similarly, we do not want any correspondent to pull any loans locked-in with Flagstar Bank so that they can deliver them elsewhere. If we feel that a correspondent is abusing this delivery policy, this matter will be referred to senior management and/or to legal counsel.

Flagstar Bank reserves the right to impose a substantial monetary penalty if a locked-in loan is pulled and delivered elsewhere. Any correspondent who closes a loan and sells it to another institution when it has been previously locked in at Flagstar Bank may be subject to a permanent termination of any business relationship. Please be aware that Flagstar Bank will be monitoring fall-out ratios and locked loans that do not close within a timely manner for possible abuses.

CANCELLING A REGISTERED LOAN

In the event that a loan registered with Flagstar must be cancelled using the Cancel Loan link on the Loan Information page on tpo.flagstar.com, submit the *Loan Cancellation/Withdrawal Form*, [Doc. #3104](#) via fax to (248) 312-6929 or email to LockDesk@flagstar.com.

FALLOUT

Lock fallout ratios contribute largely in the star rating calculation which directly impacts your pricing and company status with Flagstar. Your Star Rating is accessible through your Customer Profile Report on our website. Refer to *Star Rating Formulas* in the *Reports* menu for details concerning the calculation of your star rating.

MANDATORY LOCKS PRODUCT OPTIONS

The following products are not available for the Mandatory Lock option.

- *Fannie Mae Homestyle Renovation*, [Doc. #5719](#)
- *Second Mortgage*, [Doc. #5562](#)
- *Home Equity Line of Credit*, [Doc. #5561](#)
- *Jumbo 5/1 & 7/1 ARMs*, [Doc. #5415](#)
- *Jumbo 10/1 ARM*, [Doc. #5416](#)
- *Conforming One-Close Construction*, [Doc. #5717](#)
- *Jumbo One-Close Construction*
- *Jumbo Fixed*, [Doc. #5413](#)
- *Jumbo Advantage*, [Doc. #5427](#)
- *Doctor Loan*, [Doc. #5425](#)



Loan Registration and Locking a Loan - Correspondent

- *Jumbo Express*, [Doc. #5432](#)